CRA Tax Rules & Complete Guide

TFSA Rules · Margin Tax · Capital Gains · Dividends · Provincial Brackets · TFSA as Collateral

PART 1 — TFSA RULES (CRA)

Rule / Section	Key Fact	What It Means for You
2026 Annual Limit	$7,000	CRA confirmed $7,000 for 2026 (unchanged from 2024–2025). Contribute by December 31 — no March 1 grace period like RRSP.
Cumulative Room	$109,000	If you were 18+ in 2009, total room is $109,000 as of 2026 (if never contributed). Check CRA My Account for your exact room.
Over-Contribution Penalty	1%/month	CRA charges 1% per month on any excess contribution. Track your room carefully in Settings & Goals.
Tax-Free Growth	100% tax-free	All dividends, capital gains, and interest earned inside a TFSA are completely tax-free — never report on T1.
Withdrawal Room Restored	January 1 (next yr)	When you withdraw from a TFSA, that room is restored — but only on January 1 of the following year. Do not re-contribute in the same calendar year.
US Dividend Withholding	15% IRS applies	Even inside a TFSA, the IRS withholds 15% on US dividends (Canada-US Treaty does not cover TFSA). Hold US dividend stocks in RRSP instead.
No Annual Reporting	No T1 entry	TFSA income is not reported on your T1. Your TFSA holdings, dividends, and gains never appear on a CRA slip.
TFSA as Collateral	Not a CRA rule	Using TFSA as collateral is a Wealthsimple product feature — not a CRA rule. It does not affect TFSA contribution room or tax-free status.

PART 2 — 2026 CRA FEDERAL INCOME TAX BRACKETS

These brackets apply to ALL Canadians. Your provincial rate is added on top (see Part 3). The bottom bracket rate was cut from 15% to 14%, effective July 1, 2025 — 2026 is the first full year at the lower 14% rate.

Taxable Income Range	Federal Rate	Max Tax in Bracket	Notes
$0 — $58,523	14%	$8,193.22	First bracket — cut from 15% to 14% starting 2025
$58,523 — $117,045	20.5%	$20,190.23	Bracket widens — more income in this band
$117,045 — $181,440	26%	$36,932.93	Crosses into 3rd bracket — significant jump
$181,440 — $258,482	29%	$59,275.11	Higher earners — BPA phase-out raises the effective rate here, see note below
$258,482 and above	33%	On excess	Top federal bracket — all income above ~$258K

2026 Basic Personal Amount: $16,452 maximum (net income ≤ $181,440), phasing down to $14,829 minimum (net income ≥ $258,482) — credited at 14%, worth roughly $2,076–$2,303 off your federal tax payable depending on income. Because the BPA phases out across the $181,440–$258,482 range, your effective marginal rate there runs slightly above the stated 29% — closer to 29.3%. The eligible dividend tax credit (15.02% on the grossed-up amount) also reduces federal tax owing.

PART 3 — 2026 PROVINCIAL TAX BRACKETS (All 13 Provinces & Territories)

The Tax Dashboard in the tracker auto-switches to your province when you enter your province code in Settings & Goals → B6. Reference table for all provinces below.

Province / Territory	Prov. Rate Range	Combined Fed+Prov	Key Notes
Alberta (AB)	Flat 10%	25%	AB has a flat 10% provincial rate on ALL income — most tax-friendly province for high earners
British Columbia (BC)	5.06% – 20.50%	20.06%–53.50%	7 brackets. Top combined rate 53.50% above $240,716
Manitoba (MB)	10.80% – 17.40%	25.80%–50.40%	3 brackets. Top combined rate ~50.40%
New Brunswick (NB)	9.40% – 21.30%	24.40%–53.30%	5 brackets. Top combined rate 53.30%
Newfoundland (NL)	8.70% – 21.80%	23.70%–54.80%	6 brackets. Highest top rate in Atlantic Canada
Nova Scotia (NS)	8.79% – 21.50%	23.79%–54.00%	5 brackets. Surtax applies above certain thresholds
NWT (NT)	5.90% – 14.05%	20.90%–47.05%	4 brackets. No surtax. Lower top combined rate
Nunavut (NU)	4.00% – 11.50%	19.00%–44.50%	4 brackets. Lowest provincial/territorial rates
Ontario (ON)	5.05% – 13.16%	20.05%–53.53%	5 brackets + surtax. Top combined 53.53%
PEI (PE)	9.65% – 18.75%	24.65%–51.37%	4 brackets + surtax. Smallest province, mid rates
Quebec (QC)	14.00% – 25.75%	29.00%–53.31%	4 brackets. Highest provincial rates — separate QC tax return required
Saskatchewan (SK)	10.50% – 14.50%	25.50%–47.50%	3 brackets. Mid-range combined rates
Yukon (YT)	6.40% – 15.00%	21.40%–48.00%	5 brackets. Follows federal structure closely

Enter your 2-letter code in Settings & Goals → B6 to auto-switch the Tax Dashboard to your province. Valid codes: AB · BC · MB · NB · NL · NS · NT · NU · ON · PE · QC · SK · YT. Ontario and BC's combined top rates above were independently verified; the remaining provinces/territories reflect the same published provincial tax tables.

PART 4 — CAPITAL GAINS TAX RULES (2026 CRA)

Rule / Section	Key Fact	What It Means for You
Inclusion Rate	50% in 2026	Only 50% of a capital gain is added to your taxable income. A $10,000 gain = $5,000 added to income. Report on Schedule 3, Line 12700.
Adjusted Cost Base	CRA required	You must track ACB for every position. ACB = total cost of all shares ÷ total shares held. This tracker calculates ACB automatically in Margin Portfolio — never delete Transaction Log rows.
Capital Losses	Offset gains only	Capital losses can only reduce capital gains — not other income. Carry back 3 years or carry forward indefinitely. Never expire.
Superficial Loss Rule	30-day window	If you sell at a loss and repurchase the same security within 30 days (before or after), the loss is denied (IT328). Denied loss adds to the ACB of the repurchased shares.
T5008 Slips	From your broker	Broker issues T5008 for all dispositions in Feb/March. CRA receives a copy — your reported gains must match. Cross-reference with this tracker.
TFSA Capital Gains	Tax-free	Capital gains inside your TFSA are 100% tax-free. Never report on T1. Only Margin account gains are taxable.
Wash Sale / Identity	No Canadian rule	Canada does not have a wash sale rule beyond the superficial loss rule. You may sell and rebuy after 30 days without restriction.
Annual Exemption	None for stocks	No annual capital gains exemption for publicly traded stocks or ETFs. The lifetime capital gains exemption applies to small business shares only.

PART 5 — DIVIDEND TAX RULES (2026 CRA)

Rule / Section	Key Fact	What It Means for You
Canadian Eligible Dividends	38% gross-up + 15.02% credit	Large public corporations (TSE:RY, TSE:ENB, TSE:TD, TSE:BCE). Grossed up 38%, then federal dividend tax credit of 15.02% on grossed-up amount reduces tax owing. Lowest effective tax rate of any investment income type.
Canadian Non-Eligible Divs	15% gross-up + 9.03% credit	CCPCs and some income trusts. Smaller gross-up and smaller credit. Higher effective rate than eligible dividends.

Rule / Section	Key Fact	What It Means for You
US / Foreign Dividends	No gross-up, no credit	Fully taxable at your marginal rate. IRS withholds 15% on US dividends — partially recoverable via Form T2209 (foreign tax credit). Hold US dividend stocks in RRSP to avoid IRS withholding entirely.
TFSA Dividends	100% tax-free	Any dividend received inside your TFSA — Canadian or US — is completely tax-free. US withholding still applies inside TFSA (IRS rule), but no Canadian tax owed.
DRIP Taxation	Taxable on receipt	Dividend Reinvestment Plan shares are taxable as dividend income in the year received, even though no cash changes hands. The fair market value of DRIP shares = dividend income AND new ACB for those shares.
T5 Slips	From your broker	Broker issues T5 slips for dividends received (Feb/March). Eligible and non-eligible reported separately. Must match Schedule 4 of your T1.

PART 6 — MARGIN INTEREST DEDUCTION (CRA IT533 / Line 22100)

Rule / Section	Key Fact	What It Means for You
Deductibility	IT533 · Line 22100	Margin interest paid to earn investment income is deductible from your income on Line 22100. Log every charge as Type = Margin Interest in the Transaction Log. Tax Dashboard tracks the total.
Deduction Ceiling	Net investment income	You can only deduct interest up to your net investment income (dividends + interest received) for the year. Excess interest is not lost — it carries forward.
Carry-Forward	Indefinitely	Excess interest that cannot be deducted in the current year carries forward with no time limit. Deduct in any future year when investment income is higher.
What Qualifies	Must earn income	The borrowed funds must be used to purchase income-producing investments. Interest on margin used to buy non-dividend-paying growth stocks may not fully qualify under CRA guidelines.
Record Keeping	6 years minimum	Keep brokerage statements showing each interest charge. The Transaction Log in this tracker is your ongoing record. CRA may request documentation during an audit.
T1135 Requirement	$100K+ foreign	If your total foreign investment cost exceeds CAD $100,000 at any point in the year, you must file Form T1135. Track your US stock costs carefully in the Margin Portfolio.

PART 7 — TFSA AS COLLATERAL (Wealthsimple)

Using your TFSA as collateral at Wealthsimple is a brokerage feature — not a CRA tax rule. It does not affect your TFSA contribution room, tax-free status, or CRA reporting in any way.

Feature	Detail
How it works	Wealthsimple allows your TFSA portfolio to serve as collateral for your non-registered margin account, increasing your available borrowing limit.
Collateral rate	Typically 70% of TFSA market value. Confirm the exact rate with Wealthsimple — it may vary by account type and holdings. Enter your rate in Settings & Goals → B17.
Borrowing power	Additional Borrowing Power = TFSA Market Value × Collateral Rate. Shown automatically on the Main Dashboard.
Available margin	Available Margin = Borrowing Power – Current Balance Borrowed. A negative number means you have exceeded your collateral limit.
Tax impact	Using TFSA as collateral does NOT trigger any tax event. Your TFSA remains tax-free. The borrowed funds in your Margin account are subject to normal margin interest (deductible on Line 22100).
Risk	If your Margin portfolio drops significantly and your collateral (TFSA) value also falls, you may receive a margin call. Monitor your collateral utilization ratio regularly.
Tracker setup	Enter collateral rate in Settings & Goals → B17. The Dashboard calculates borrowing power and available margin automatically from your live TFSA market value.

PART 8 — YEAR-END TAX CHECKLIST

- ■ Log ALL December margin interest charges in the Transaction Log (Type = Margin Interest) before December 31
- ■ Log all December dividends and DRIP entries for both TFSA and Margin accounts
- ■ Open Tax Dashboard — review Section 1 (Annual Income Summary): capital gains, eligible dividends, Line 22100 deduction for the year
- ■ Confirm all Buy and Sell transactions are logged — your ACB must be complete for T1 filing
- ■ Check for superficial losses — did you sell and repurchase within 30 days?
- ■ Collect T5008 (dispositions), T5 (dividends), and T3 (trust distributions) slips from your broker in February/March
- ■ Verify eligible vs. non-eligible dividends match your T5 slips in the Tax Dashboard
- ■ Check your province in Settings B6 — confirm the provincial bracket section shows correct rates for your province
- ■ DO NOT delete any Transaction Log rows — ACB for capital gains depends on full transaction history

- File → Make a copy → Rename to “TFSA + Margin Tracker 2027 — [Your Name]”
- Go to Settings → change Active Year to 2027
- Update TFSA Annual Limit when CRA announces (usually November) — enter in Settings B9
- Update your margin rate if your broker has changed it — enter in Settings B14
- Update your annual goals for the new year — Settings B22–B25
- Continue adding 2027 transactions below existing rows — ACB and share counts carry forward automatically

This guide is for educational reference only. Tax laws change annually. Consult a CPA or tax professional before filing your T1 return. Figures reflect 2026 CRA-confirmed rates; always verify current numbers on canada.ca before making financial decisions.